Padmanabhaswamy temple in Trivandrum (Thiruvananthapuram).

Working as an assistant to a member of the Council of Eight and a Half was a young man of humble origins named Ramayyan. Marthanda Varma spotted his ability, secured his services, and when his Dewan or Chief Minister died in 1737 he appointed Ramayyan in his place. The Dutch VOC was by now securely established up and down the Malabar coast in a number of trade enclaves from which they controlled the pepper export market in alliance with several local rulers. With his Dewan's help, Marthanda Varma set about destabilising this cosy and hugely profitable alliance.

From his base in Nagercoil, just west of Kanyakumari, Marthanda set out to win over the Lords of the Eight Houses. This provoked an attempt on his life which he survived, stabbing his assailant to death in the process. He responded by hanging forty-two Nair chiefs, branding four Brahmins on the forehead as outcastes and handing over all their wives and children to the local outcaste fishermen. This secured the allegiance of the Lords of the Eight Houses. He next launched an attack on the Nambudiri stronghold of Perumchallur which was garrisoned by its own warrior Brahmins. Those who survived were exiled. This action won the allegiance of the Council of Eight and a Half.

By 1741 Marthanda Varma had won control of the largest pepper-producing region on the coast, which put him on a collision course with the Dutch, culminating in 1749 in a battle fought 20 miles (32 kilometres) up the west coast from Kanyakumari at Colachel, where the Dutch had a fort. The Nairs broke the Dutch fighting line and captured twenty-five Dutch officers and men as the rest turned and ran. This was the first instance of an Asian power beating a European one in battle and it hastened the eclipse of Dutch power in India.

Marthanda Varma now built himself a new palace in the grounds of an old fortress at Padmanabhapuram, inland